

The Bailey Law Firm v. Julie Stowasser, et al., 25CV-0324

Hearing: Motion to Set Aside Default

Date: August 20, 2026

TENTATIVE RULING

The Bailey Law Firm (Plaintiff) filed this action on May 19, 2025, against Julie Stowasser (Stowasser) and Shawna Scott (collectively Defendants). Plaintiff seeks payment for services it rendered when representing Defendants in a dispute with the neighbor. Defendants' default was entered on March 13, 2026.

Currently on calendar is Stowasser's Motion to Set Aside Entry of Default. Stowasser seeks relief pursuant to Code of Civil Procedure section 473(b), as well as the Court's equitable powers.

First, Stowasser argues the default was improperly entered because the proceedings were subject to a mandatory stay under Business and Professions Code section 6201(c). The stay issue has been raised and rejected, both in connection with a motion to dismiss heard in January 2026, and a motion for reconsideration heard in June 2026. There was no stay in place when the default was entered.

Second, Stowasser argues Plaintiff failed to comply with 50 U.S.C. section 3931 which requires a plaintiff to file a declaration confirming the defendant is not in the military service. That requirement applies to entry of a default judgment, not entry of default.

Third, Stowasser argues Plaintiff entered the default despite the fact she was specially appearing and litigating jurisdictional and procedural issues. Plaintiff responds that the Court ruled on those issues in January 2026 and had also ordered Stowasser to file a responsive pleading within 30 days. (Ntc. of Ruling, 02/26/26.) Stowasser instead filed the motion for reconsideration clearly believing this extended her time to respond while she disputed the Court's jurisdiction. (Stowasser Reply Decl., ¶¶ 4-6.) The entry of default was entered while that motion was pending. The Court finds Stowasser has made a sufficient showing for relief under Code of Civil Procedure section 473(b).

Finally, Plaintiff argues Stowasser did not include a copy of her proposed answer as required by Code of Civil Procedure section 473(b). Stowasser, however, submitted a proposed answer with her reply. (Stowasser Reply Decl., Ex. A.)

If the responsive pleading is "filed separately from the notice of motion (but before the motion hearing). This may be deemed 'substantial compliance' with the [Section 473(b)] requirements. [Citations.]" (Edmon & Karnow, Cal. Practice Guide: Civ. Proc. Before Trial (The Rutter Group 2026) ¶ 5:386.)

The courts are split on this issue with one court denying relief on the ground that untimely filing of the proposed answer is not substantial compliance with Section 473(B). (*Puryear v. Stanley* (1985) 172 Cal.App.3d 291, 294-295.) Other courts, however, permit relief on the ground Section 473(b) should be construed “ ‘liberally with a view to substantial compliance.’ ” (*Job v. Farrington* (1989) 209 Cal.App.3d 338, 340-341; *County v. Stanislaus v. Johnson* (1996) 43 Cal.App.4th 832, 836-838.) The Court is inclined to agree with the latter cases.

ORDER (PROPOSED)

The Court grants Stowasser’s motion to set aside entry of default. The Court directs Stowasser to file and serve the proposed answer attached as exhibit A to her reply no later than September 3, 2026.

This ruling is limited to Stowasser’s default. The default entered against Shawna Scott remains in place.